

15 to 20 percent	Be cautious—You may want to reduce your current debt loan. Do not take on new debt.
Over 20 percent	Danger—You are heavily in debt and should not under any circumstances take on additional debt!

If Jane had done these calculations prior to getting her first credit card, she would have realized the maximum amount she could have handled per month. Since her net monthly income was only \$1,000, Jane could not take on more than 20 percent, or \$200 a month, in debt payments. Her car payment was \$150 so she could only afford to pay \$50 extra in credit card payments. Do you now see why she was forced to play the “credit card shuffle”?

Robbing Peter to pay Paul is never a long-term answer. It may temporarily fix the problem, but in the long run you can’t accept a debt level that is in the danger zone! Keep this danger zone in mind when you are confronted with the spending decisions you must now make on your own. Recall one of the lessons from Chapter 2, “Do you really need it or just want it?”

The Freshman Ten

Although the “freshman ten” has usually referred to the extra ten pounds the average college freshman gains during their first year, it also can refer to debt. In the case of Christi, the “freshman ten” referred to the extra \$10,000 she charged on credit cards her first year in college.

Credit card companies eagerly seek your business. College students are targeted for many reasons: it is cheaper to conduct mass marketing campaigns on college campuses (about one-half

